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Kuwait Ministerial Decision No. 4/2023 Concerning the Procedures for Specifying the Beneficial Owner

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> ***Amended by:***
> ***Kuwait Ministerial Decision No. 41/2023 dated 07/03/2023***
> ***Kuwait Ministerial Decision No. 16/2025 dated 18/02/2025***
> ***Kuwait Ministerial Decision No. 171/2025 dated 11/09/2025***
> ***Kuwait Ministerial Decision No. 37/2026 dated 16/04/2026; and***
> ***Kuwait Ministerial Decision No. 156/2026 dated 30/07/2026***

The Minister of Commerce and Industry,

Pursuant to the perusal of:

Penal Law issued by Kuwait Law No. 16/1960, and its amendments;

Commercial Law issued by Kuwait Decree-Law No. 68/1980, and its amendments;

Kuwait Law No. 106/2013 on Combating Money Laundering and Terrorism Financing, amended by

Kuwait Law No. 24/2016 and its Implementing Regulation;

Kuwait Law No. 111/2013 concerning the Licences of Commercial Stores and its Implementing Regulation;

Kuwait Law No. 1/2016 on the promulgation of the Nahid Companies Law, and its amendments;

Kuwait Law No. 2/2016 on establishing Kuwait Anti-Corruption Authority and the Provisions on Disclosure of Assets and Liabilities;

Kuwait Law No. 18/2018 on the Commercial Register and its Implementing Regulation;

Bankruptcy Law, Kuwait Law No. 71/2020, its Implementing Regulation, and their amendments;

Kuwait Decree No. 191/2015 on the Regulation of the Ministry of Commerce and Industry;

Kuwait Decree No. 300/2016 issuing the Implementing Regulation of Kuwait Law No. 2/2016 concerning the establishment of the Anti-Corruption Authority and the provisions on disclosure of assets and liabilities.

Letter of the Department of Legal Advice and Legislation - Council of Ministers, Reference No. (20210005108) dated 21/21/2022;

Letter of the Ministry of Justice, Reference No. (MOJ126-2022011962) dated 21/06/2022;

The proposal of the Undersecretary of the Ministry; and

Based on the public interest requirements,

Has decided:

Article 1 - Definitions

The following terms and expressions shall have the meanings indicated assigned to them:

Law: Kuwait Law No. 106/2013 on Combating Money Laundering and Terrorism Financing.

Implementing Regulation: Implementing Regulation, of Kuwait Law No. 106/2013 on Combating Money Laundering and Terrorism Financing, issued by Kuwait Ministerial Decision No. 37/2013.

Registrar: Authority having competence to supervise the trade names register for the various types of establishments registered in the State.

Concerned Entities: Regulatory authorities and competent authorities concerned with the implementation of any provision of the Law and the Implementing Regulation.

Beneficial Owner: Any natural person who owns or exercises - direct or indirect - final control over the Client or the person on whose behalf the transaction is conducted or the natural person who exercises final effective control over a Juristic Person or legal arrangement, which is determined in accordance with the provisions of Article (5) of this Decision.

Nominal Board Member: Any natural person acting in accordance with the directions, instructions or will of another person.

Senior Management: Decision-making authority of the Juristic Person.

Beneficial Owner Record: Special register for the actual beneficiaries of the Juristic Person, that includes all their data.

Register of Partners or Shareholders: Special register for the partners or the shareholders of the Juristic Person, that includes all their data.

Testator: Natural or Juristic Person entrusting the management of their money to a Trustee by virtue of an official document or a document under private signature.

Trustee: Natural or Juristic Person who enjoys the rights and powers granted thereto by the Testator or the Trust Fund, according to which such person shall undertake to manage, use and dispose of the Testator’s money in accordance with the conditions imposed on him by either of them.

Trust Fund: Legal relationship whereby the Testator places funds under the control of the Trustee for the benefit of a beneficiary or for a specific purpose. Such funds shall be considered as independent from the Trustee’s money, and the right to the Trustee’s money shall remain in the name of the Testator or in the name of another person on behalf of the Testator.

Article 2 - Objectives of the Decision

The present Decision aims to:

1. Contribute to the development of the business environment and the State's capabilities and economic standing in accordance with the international requirements by regulating - at least - the minimum obligations of the Registrar and Juristic Persons in the State, including the procedures of licensing or registration, and regulation of the record of the Beneficial Owner and the record of partners or shareholders.
2. Develop effective and sustainable executive and regulatory mechanisms and procedures for the data of the Beneficial Owner.

Article 3 - Scope of Application

> ***The text of Article 3 was replaced by virtue of Article 1 of Kuwait Ministerial Decision No. 16/2025 dated 23/02/2025 to read as follows:***

The provisions of this Decision shall apply to all Juristic Persons registered in the State, and the following shall be exempt from this Decision:

The text of Clause 1 was replaced by virtue of Article 1 of Kuwait Ministerial Decision No. 171/2025 dated 11/09/2025, to read as follows:

1. Companies that are totally owned, or affiliated with, the Government of the State of Kuwait or a foreign government.
2. Legal entities listed on the local and international stock exchanges, and which are subject to the disclosure requirements that ensure transparency of the beneficial ownership, as well as their subsidiary companies with majority ownership.
3. Investment entities which are licensed as per aforementioned Kuwait Law No. 116/2013, provided that they submit the disclosure related to the data of the actual beneficiary within 3 months from the date of issuance of the commercial licence, according to the procedures determined by the Ministry of Commerce and Industry.

Article 4 - Licensing or Registration of the Juristic Person

> ***The text of Article 4 was replaced by virtue of Article 1 of Kuwait Ministerial Decision No. 16/2025 dated 23/02/2025 to read as follows:***

A Juristic Person in the State of Kuwait shall, as a part of the registration process, submit the main data below to the Registrar:

a- Name, legal form and legal status of the juristic personality, along with a copy of the articles of association thereof.

b- Address of the head office or the main workplace. In case the Juristic Person is a foreigner, the name and address of the legal representative thereof shall be registered.

c- The Articles of Association or any other similar documents approved by the competent authority in Kuwait.

d- The names of all relevant persons who hold senior management positions with the Juristic Person including the data of the travel document or the civil number, and the date of issuance and expiry thereof.

Additional provisions:

1. A Juristic Person may not be licensed or registered under a name that is previously registered in the State or under a name that is similar to an extent that leads to confusion.
2. A Juristic Person shall refrain from using a name other than his registered name, and the name shall be followed by the legal form of the Juristic Person. The Juristic Person may apply to the Registrar to change their name, and if approved, they shall be prohibited from using the previous name immediately after its cancellation.
3. All correspondence and documents shall clearly mention the name of the juristic person, as well as its registered address in the State.

Article 5 - Specifying the Beneficial Owner

1. For the purposes of applying the provisions of this Decision, the Beneficial Owner of a Juristic Person is whoever owns or exercises ultimate control over a Juristic Person, through shares or stocks of direct or indirect ownership by 25% or more of the Juristic Person’s capital, or has the right to vote in it by 25% or more, including retaining that ownership through a chain of ownership or control, or through control through any other means, such as the right to appoint or dismiss the majority of the members of the Board of Directors.
2. The Beneficial Owner may be sued through any number of Juristic Persons or any arrangements of any kind.
3. If more than one person participates in owning or controlling a percentage of the capital in the Juristic Person, they shall all be treated as owners and controllers of this percentage.

4. If all possible means have been exhausted and no Natural Person with ultimate controlling ownership is identified as set out in Clause (1) of this Article or there is doubt that the Natural Person exercising control over the Juristic Person through other means is the Beneficial Owner.
5. If no Natural Person is specified as set forth in Clause (4) of this Article, the Beneficial Owner shall be deemed to be the Natural Person holding the position of senior management officer.

Article 6 - Transparency and the Beneficial Owner

The provisions of Clause 2 of Article 6 were abrogated by virtue of Article 2 of Kuwait Ministerial Decision No. 41/2023 dated 07/03/2023.

1. A Juristic Person shall take reasonable measures to obtain and maintain adequate, accurate and up-to-date data on the Beneficial Owner.
2. **The provisions of Clause 2 of Article 6 were abrogated by virtue of Article 2 of Kuwait Ministerial Decision No. 41/2023 dated 07/03/2023**

Article 7 - Notifications Relating to the Beneficial Owner

1. If it appears to the Juristic Person that there is a Person who could be a Beneficial Owner, and their ownership details - whatever their nature - are not correctly registered in the Beneficial Owner Record, then the Juristic Person shall inquire about the status of that Person as their Beneficial Owner. If a period of (15) Fifteen days from the date of the inquiry lapses without a response, the Juristic Person shall notify the Natural Person that he is considered a Beneficial Owner thereof.
2. The notification referred to in Clause (1) of this Article shall include the following:

    a- Evidence of the issuance of the notification pursuant to this Decision.

    b- Details of the data related to him being a Beneficial Owner, which the Juristic Person believes to be correct, with a request to provide the missing data required to complete the data of the Beneficial Owner Record.

    c- Requesting the following from the addressee:

        1. An indication of whether or not such addressee is the Beneficial Owner of the Juristic Person.
        2. Confirmation or correction of any details included in the notification.
        3. Submission of any data missing in the notification.
3. If the addressee fails to comply with the notification within (15) fifteen days from the date of sending it, the Juristic Person shall include the notified details in the Beneficial Owner Record.
4. A Juristic Person, for the purpose of determining the identity of the Beneficiary Owner, may rely on the person's response that is written on the notification, unless the Juristic Person has reasonable grounds to suspect that the answer is misleading or incorrect, in which case the Juristic Person shall record details of the nature of ownership of this person as Beneficial Owner and notify said person of that.

Article 8 - Beneficial Owner Record

The text of Clause (1) of Article (8) was replaced by virtue of Article 1 of Kuwait Ministerial Decision No. 156/2026 dated 30/07/2026, to read as follows:

1. The Juristic Person shall maintain the details of each Beneficial Owner in the Beneficial Owner Record which they shall establish within (15) fifteen days from the date of implementation of this decision or from the date of existence of such Juristic Person, The Juristic Person shall update this Record and include any change in it within fifteen (15) days from the date on which it becomes aware of such change or the date on which it ought to have become aware thereof.
2. The Beneficial Owner Record shall include the data of each Beneficial Owner, as follows:

    a- The full name, nationality, and date and place of birth.

    b- The place of residence or the address to which notifications are to be sent under this Decision.

    c- The number of the travel document or the civil card, as well as the country and date of issuance and expiry.

    d- The basis on which they became Beneficial Owner of the Juristic Person, and the date on which they acquired said capacity.

    e- The date on which the Person ceased to be a Beneficial Owner of the Juristic Person.
3. If the Juristic Person includes the name of a Natural Person in the Beneficial Owner Record as Beneficial Owner and such Natural Person has not provided, personally or to his knowledge, his information and details, Juristic Person shall notify him within fifteen (15) days from the date of such entry.
4. Any person with a capacity or interest may submit a request to the competent court to correct the Beneficial Owner Record, in the following cases:

a- Inclusion or deletion of the name of any person in the Beneficial Owner Record, without sufficient reason.

b- Not including the name of a person in the Beneficial Owner Record.

c- An unjustified delay in including the name of a person in the Beneficial Owner Record, or deleting the name of a person who is no longer a Beneficial Owner:

5. A Juristic Person may not register or enforce any document related to a change of ownership in it, unless the person to whom the ownership is transferred or his representative submits a statement including whether the transfer will result in a change in the Juristic Person's Beneficial Owner, the nature of this change, and provides the information of the new Beneficial Owner data for entry in the Record.

Article 9 - Nominal Members of the Administration

The text of Clause (1) of Article (9) was replaced by virtue of Article 1 of Kuwait Ministerial Decision No. 156/2026 dated 30/07/2026, to read as follows:

1. The manager or Board Member who acts as a nominal board member shall notify the Juristic Person that he is acting in such capacity, and shall submit all the data referred to in Article (10) of this Decision within (15) fifteen days from the date of acquiring such capacity. The nominal Board member who acquired such capacity prior to the publication of this decision shall notify the Juridical Person thereof within (15) fifteen days from the date of its publication.
2. The nominal Board member shall notify the Juristic Person of any change in the data referred to in Article (10) of this Decision, within (15) fifteen days from the date of such change.
3. The nominal Board Member shall notify the Juristic Person that he has ceased to act in such capacity within (15) fifteen days from the date on which such capacity ceases.

Article 10 - Register of Partners or Shareholders

1. A Juristic Person shall keep the details of data of each partner or shareholder in the register of partners or shareholders, and it shall update this Register and include any change that occurs to it within (15) fifteen days from the date of its knowledge of it, provided that it includes the following data:

   a- The number of shares or stocks owned by each of them, their categories, and the voting rights related to them.

   b- The date of acquiring capacity as a partner or shareholder.

   c- For partners or shareholders from among Natural Persons: The full name according to what is mentioned in the civil card or travel document, as well as the nationality, address, place of birth, and the name and address of the employer, along with a valid true copy of the civil card or the travel document.

   d- For partners or shareholders from among Juristic Persons: Providing the data mentioned in Clause (1) of Article (4) of this Decision.
2. A Juristic Person who has one or more partners or shareholders, acting as a Trustee or as a nominal Board member shall have his data recorded in the Register of Partners or Shareholders.
3. The Register of Partners or Shareholders shall include the data of the persons represented by each Trustee or nominal Board Member as stated in Clause (2) of Article (8) of this Decision.

Article 11 - Providing Data to the Registrar

The text of Clause (1) of Article (11) was replaced by virtue of Article 1 of Kuwait Ministerial Decision No. 156/2026 dated 30/07/2026, to read as follows:

1. The Juridical Person shall, within (15) fifteen days from the date of enforcement of this Decision or from the date of its licensing and registration, submit the data of the Beneficial Owner Record and the Record of Partners or Shareholders to the Registrar, and take reasonable measures to save its records from damage, loss or destruction.
2. The Juristic Person shall provide any additional data requested by the Registrar within the time limit specified by him.
3. Subject to the legislation in force, the Juristic Person shall provide the Registrar with all the data referred to in Clause (1) of Article (4) of this Decision upon applying for incorporation, licensing, registration, renewal, modification or in any other cases deemed necessary by the Registrar for this purpose.
4. Each Juristic Person shall provide the Registrar with the name of a Natural Person residing in the State who is authorised to disclose to the Registrar all the data and information required under the aforesaid[2] [1 p.8] Law, Implementing Regulation or this Decision, as well as his address, contact details and a valid copy of his travel document or civil ID.
5. When issuing shares or stocks in the name of persons or Board members, the Juristic Person shall disclose within (15) fifteen days the details of such shares or stocks and the identities of the persons and Board members to the Registrar.
6. If the Juristic Person is in the stage of dissolution or liquidation, the liquidator shall deliver the Beneficial Owner Record and the Register of Partners or Shareholders, if any, or a true copy thereof to the Registrar within (30) thirty days from the date of his appointment.

7. The Juristic Person, the person in charge of its management, the liquidator or any other person concerned with its dissolution shall retain the records and all data referred to in this Decision for at least (5) five years from the date of its dissolution, liquidation, writing off or other procedures resulting in the termination of its legal existence.

Article 12 - Notifications Issued by the Registrar

1. For the purposes of the Registrar carrying out his duties, the Juristic Person or any other person holding data or documents relating to the Beneficial Owners or nominal Board members, and without prejudice to any privilege enjoyed by that Person, shall undertake to accept the Registrar's request to provide or disclose such data or documents to said Person's employees or authorized agents, by virtue of a written notification sent to either of them at the time and place specified in the notification.
2. The powers conferred upon the Registrar under Clause (1) of this Article shall include the following:

    a- Taking copies of the submitted documents according to the conditions that the Registrar deems appropriate.

    b- Asking the person who is required to submit data or documents, in case they are not submitted, to indicate their location, to appear at the time and place specified by the Registrar and to answer any questions related to any matters for which data is required to be submitted.
3. Attorneys and other independent legal professionals and independent statutory auditors shall be exempted from submitting any data required in the notification if obtained in the course of their assessment of the legal status of the Juristic Person, his defense or his representation before the judiciary, or the arbitration, mediation or conciliation procedures or the provision of a legal opinion on a matter relating to judicial proceedings, including advising on initiating or avoiding such proceedings or inquiring about them whether such data were obtained before, during or after judicial proceedings or in other circumstances in which they are subject to professional secrecy.

Article 13 - Obligations of the Registrar

The Registrar shall undertake to:

1. Prepare and issue working models, notifications and guides related to licensing or registration procedures in the required manner that ensures effectiveness.
2. Provide adequate human resources to enable him to effectively carry out his duties.
3. Automate the data obtained thereby and classify them in a way that facilitates reference to such data and their exchange with the concerned entities upon request.
4. Provide the data required regarding the Commercial Register within (6) six months from the date of implementation of this Decision, and any other data required by the Ministry of Commerce and Industry or the concerned authorities.
5. Provide data on the Juristic Persons in the State and make them available to the public as follows:

    a- Describe their different types or forms and basic features, in accordance with the Companies Law, Kuwait Law No. 1/2016.

    b- Procedures for the licensing or registration.

    c- Providing the basic data mentioned in Clause (1) of Article (4) of this Decision.

    d- Data related to the Beneficial Owner.
6. Maintain the basic data mentioned in Clause (1) of Article (4) of this Decision, ensure its accuracy, update it and make it available to the public.
7. Obtain the data of the Beneficial Owner when licensing or registering the Juristic Person, update it, and ensure its accuracy.
8. Keep all records handed to him by virtue of Clause (7) of Article (11) of this Decision for a period of at least (5) five years from the date the Juristic Person is abolished through dissolution, liquidation or other procedures that lead to the termination of its legal existence.
9. Update the basic data mentioned in Clause (1) of Article (4) of this Decision, the data of the Beneficial Owner Record, the Record of Partners or Shareholders on an ongoing basis, based on the data provided by the Juristic Person, provide them to the Ministry of Commerce and Industry and disclose them at the request of the concerned authorities.

Article 14 - Change of Data

1. A Juristic Person shall keep all basic data under Article (8) of this Decision, the data of the Record of Partners or Shareholders, data of the Beneficial Owner, data of the records associated thereto and any other data or information he may be required to keep under the legislation in force, provided that they are accurate and up to date.
2. The Juristic Person shall submit any amendment or change to the data or information under this Decision to the Registrar within (15) fifteen days from the date of the amendment or change.

Article 15 - Local and International Cooperation

1. The Ministry of Commerce and Industry shall provide the basic data mentioned in Clause (1) of Article (4) of this Decision, the data of the Beneficial Owner Record, and the Record of Partners or Shareholders, to the concerned entities in the State upon request.
2. The Ministry of Commerce and Industry shall provide means of international cooperation concerning the basic data of the Juristic Person, the data of Beneficial Owner Record, and the Record of Partners or Shareholders, provided that this cooperation includes the following:

    a- Facilitating access by the competent foreign authorities to the basic data available in the records of the Juristic Person upon request.

    b- Exchanging data and information about the partners or shareholders of the Juristic Person.

    c- Using its powers to obtain all the data of the Beneficial Owner on behalf of the foreign counterparts.
3. The Ministry of Commerce and Industry shall supervise the quality of implementation of international cooperation processes received from other countries with regard to requests to obtain basic data of Juristic Persons and data of their Beneficial Owner, as well as the requests for international cooperation regarding knowing the whereabouts of the Beneficial Owners outside the State, in accordance with bilateral agreements or multilateral agreements, or the principle of reciprocity.

Article 16 - Penalties

> ***The text of Article 16 was replaced by virtue of Article 1 of Kuwait Ministerial Decision No. 16/2025 dated 18/02/2025 to read as follows:***

Without prejudice to any more severe penalty stipulated in Kuwait Law No. 106/2013 as well as other relevant legislation, the Ministry of Commerce and Industry shall have the right to impose the following penalties on any juristic personality that does not fulfil the obligations thereof by virtue of this Decision, including failure to keep, register or update the required data of the actual beneficiary:

1. Warning.
2. An administrative fine of not less than KWD 1000 and not exceeding KWD 10.000 on every offence.
3. Suspension of the registration of the company up to 3 months.

In case the offence continues after suspension for more than 3 months, the Ministry may submit to the Court an application for permanent writing off of the Juristic Person from the Commercial Register.

Article 17 - Prohibition of Granting or Renewing a License

> ***The text of Article 17 was replaced by virtue of Article 1 of Kuwait Ministerial Decision No. 16/2025 dated 18/02/2025, and subsequently amended by virtue of Article 1 of Kuwait Ministerial Decision No. 37/2026 dated 16/04/2026, to read as follows:***

No licence shall be granted or renewed unless the requirements of this Decision are fulfiled.

Administrative fines of not less than KWD 1000 and not exceeding KWD 10.000 shall be imposed for each offence in the event of failure to disclose the beneficial owner or the provision of inaccurate information in relation thereto.

The same fine shall be imposed on any natural person registered as a beneficial owner contrary to the truth with knowledge thereof, or who, in any manner whatsoever, participates in the provision of inaccurate information while being aware of its inaccuracy.

Article 18 - Publication and Entry into Force of the Decision

All the competent authorities, each within the scope of competence thereof, shall implement the present Decision which shall come into force as of 01/04/2023 and be published in the Official Gazette.

Issued on: 11 Jumada Al-Thani 1444 H.

Corresponding to: 04/01/2023

Minister of Commerce and Industry and

Minister of State for Communications Affairs

And Information Technology

Mazin Saad Ali Al Nahedh

This Ministerial Decision was published in the Official Gazette, Issue No. 1617, dated 08/01/2023, P. 3A.

Notes

1. ^ [p.5] file:///C:/Users/delossj3/AppData/Local/Microsoft/Windows/INetCache/Content.Outlook/QVQ0WAD8/LNME_KWT_MD_4_2023
2. ^ [p.5] The Arabic phrase appears as such in the text published in the Official Gazette.